

worried that it would sink our economy and threaten the world. What better reason to sell stocks than that “the M-1 is rising”—even if you weren’t sure what the M-1 was.

Then suddenly we heard nothing further about the dreaded rise in the M-1 money supply, and our attention was diverted to the discount rate that the Fed charges member banks. How many people know what this is? You can count me out once again. How many people know what the Fed does? William Miller, once Fed chairman, said that 23 percent of the U.S. population thought the Federal Reserve was an Indian reservation, 26 percent thought it was a wildlife preserve, and 51 percent thought it was a brand of whiskey.

Yet every Friday afternoon (it used to be Thursday afternoon until too many people jostled into the Fed building to get the number in advance of the Friday stock market opening) half the professional investing population was mesmerized by the news of the latest money supply figures, and stock prices were wafted up and down because of it. How many investors got faked out of good stocks because they heard that a higher money supply growth rate would sink the stock market?

More recently we’ve been warned (in no particular order) that a rise in oil prices is a terrible thing and a fall in oil prices is a terrible thing; that a strong dollar is a bad omen and a weak dollar is a bad omen; that a drop in the money supply is cause for alarm and an increase in the money supply is cause for alarm. A preoccupation with money supply figures has been supplanted with intense fears over budget and trade deficits, and thousands more must have been drummed out of their stocks because of each.

WHEN TO REALLY SELL

If the market can’t tell you when to sell, then what can? No single formula could possibly apply. “Sell before the interest rates go up” or “sell before the next recession” would be advice worth following, if only we knew when these things would happen, but of course we don’t, and so these mottos become platitudes as well.

Over the years I’ve learned to think about when to sell the same way I think about when to buy. I pay no attention to external economic conditions, except in the few obvious instances when I’m sure that a specific business will be affected in a specific way. When oil prices go down, it obviously has an effect on oil-service companies, but not on ethical drug companies. In 1986–87, I sold my Jaguar, Honda, Subaru, and Volvo holdings because I was convinced that the falling dollar would hurt the earnings of foreign automakers that sell a high percentage of their cars in the U.S. But in nine cases out of ten, I sell if company